

SLOVAK REPUBLIC
2003

1. Overview of the system

Unemployed persons can receive unemployment benefits for a maximum period of 6 months, which is extended to 9 months, if the person has contributed for more than 15 years.

The tax unit is the individual, partners are taxed separately. The 2003 AW level is SKK 172803.

2. Unemployment insurance

2.1 Conditions for receipt

2.1.1 Employment conditions

- At least 24 months of work in the last three years.
- At least 6 months in the last three years in fixed term employment agreed for seasonal work.

2.1.2 Contribution conditions

- At least 24 months of work in the last three years.
- At least 6 months in the last three years in fixed term employment agreed for seasonal work.

2.2 Calculation of benefit amount

2.2.1 Calculation of unemployment benefit

Unemployment benefit for one calendar month for which a registered unemployed person can apply at the District Labour Office and is entitled if he meets conditions in section 2.1.2, as follows:

- 50 per cent of the determined base of unemployment benefits over the first three months.
- 45 per cent of the determined base of unemployment benefits over the remaining time.

The maximum value to which unemployment benefits are granted is the minimum subsistence income (MSI) of an adult natural person multiplied by 1.5. The maximum sum of a granted unemployment benefit is SKK 6 315 since 1 July 2003.

The duration of payments of unemployment benefits shall be reduced by one half in the following cases:

- Termination of the last employment by the registered unemployed without serious reasons or in absence of statement of reasons, or termination of the last employment by the employer for violation of labour discipline, unsatisfactory performance in work or for reasons which may be sanctioned by immediate dismissal.
- Termination, without serious reasons, of the operation or performance of self-employment or of collaborator activities.

2.2.2 *Income and earnings disregards*

Any income from employment contract and on the basis of the work performance agreement cancels entitlement to an unemployment benefit.

2.3 *Tax treatment of benefit*

Not taxable

2.4 *Duration of payments of unemployment benefits*

The registered unemployed shall be paid unemployment benefits over a period depending on the total duration of his/her unemployment insurance contributions: 6 months for up to 15 years, and 9 months for more than 15 years.

The time whereby the duration of payment of unemployment benefits to the registered unemployed had been reduced is deemed creditable time for calculations of the support period.

The time of reception of sickness benefits or financial assistance in maternity by the registered unemployed person is not deemed creditable time for calculations of the support period.

The registered unemployed person who had accepted employment for the duration of less than six months in the support period shall be paid unemployment benefits for the remaining part of the support period in the value determined by the decision issued in respect of his/her application for unemployment benefits prior to the acceptance of such employment.

The registered unemployed person who had accepted employment for the duration of more than twelve months in the support period shall be repeatedly paid unemployment benefits for the support period extended by the remaining part of the support period left from the time of receiving unemployment benefits prior to the acceptance of such employment. Such extension shall be claimed within three years from interruption of the support period, or else subjected to forfeiture.

The registered unemployed person who, after lapse of the support period, had been employed in his/her last employment in a negotiated job mediated in accordance with this Act shall, upon fulfilment of the remaining conditions stipulated by this Act and when it is more beneficial to the applicant, qualify for unemployment benefits in the value determined by the decision issued on his/her application for such benefits prior to the acceptance of such negotiated job.

The duration of payments of unemployment benefits shall be reduced by one half in the following cases:

- termination of the last employment by the registered unemployed without serious reasons or in absence of statement of reasons, or termination of the last employment by the employer for violation of

labour discipline, unsatisfactory performance in work or for reasons which may be sanctioned by immediate dismissal;

- termination, without serious reasons, of the operation or performance of self-employment or of collaborator activities.

2.5 Treatment of unemployment registration

The unemployed person applies personally for mediation of employment at a District Labour Office relevant to the place of his/her residence. Based upon this application he is included into the unemployed register. If the registered unemployed person meets the conditions for the unemployment benefits the District Labour Office that registers him will pay the benefit to him. The stated procedure is equal for all unemployed persons who requires the relevant District Labour Office for mediation of employment and are in the unemployed register.

Registered unemployed young people (schools graduates) who paid the unemployment insurance contributions at least six months during a continuous vocational training are entitled to the unemployment benefit.

Registered unemployed older persons in the case of entitlement receive unemployment benefit for 6 or 9 months. After the termination of this period they are eligible for social assistance benefit if they are in material need. If they qualify and apply for an old-age pension during this period they obtain an old-age pension. From the day of entitlement they are removed from the unemployment register and the unemployment benefit payment is stopped.

3. Unemployment assistance

None except the unemployment benefits.

In a year the registered unemployed person can receive the unemployment benefit for the maximum length of 9 months and for the maximum amount SKK 56 835.

4. Social assistance

4.1 Conditions for receipt

Social assistance benefit has been one of the social assistance instruments which was paid to the citizen in material need under the Act on social assistance No. 195/1998 Coll. as amended in the later regulations.

Since January 1, 2003 there have been cardinal changes in the amount of the social assistance benefit, with the retaining of its provision at two levels:

- A social assistance benefit supplemented an income of the citizen who was in material need for subjective reasons,
 - one adult person to the amount SKK 1450,- monthly,

- A social assistance benefit supplemented an income of the citizen who was in material need for objective reasons,
 - one adult person to the amount SKK 2900,- monthly,
 - an independent child underage up to SKK 1000,- monthly,
 - each dependent child up to SKK 1600,- monthly.

Another change has occurred in settling the maximum level of the provided social assistance benefit and that is the sum of SKK 10 500.

In the event that a social assistance benefit is granted to citizens in material need and their income is considered jointly an amount of a social assistance benefit is calculated in such a way that a total income of all considered persons is supplemented to the amounts fixed by the Act on social assistance. The social assistance benefit is paid in one sum in such cases.

4.2 Calculation of a benefit amount

4.2.1 Calculation of gross benefit

For the purposes of this study, only objective reasons are considered for social assistance. Thus benefits are as follows:

- one adult person to the amount SKK 2900,- monthly,
- an independent child underage up to SKK 1000,- monthly,
- each dependent child up to SKK 1600,- monthly.

Social assistance is reduced by any received family allowance. Housing benefits do not reduce social assistance.

4.2.2 Income and earnings disregards

A citizen is not in material need, even if his/her income does not amount to the MSI, in the case that his/her previous income or property enables him/her to withstand material need.

4.3 Tax treatment of benefit

Not taxable.

4.4 Benefit duration of social assistance

The procedure concerning the provision of a social assistance benefit is based on an application in writing submitted by a citizen and is provided during the period of material need. No previous earnings or work experience is required. Social need benefit is provided until the citizen has sufficient income to overcome the material need.

5. Housing benefits

Effective since 1 January 2000, a state social benefit has been introduced - the *housing contribution* (Act No. 300/1999 Coll. on housing contribution). Through it the state financially contributes to low income households to cover expenses related to the flat or family house use, depending on the number of persons permanently staying in the flat or family house to which the entitlement to this contribution is applied, and depends on the income they received in the decisive period (half of a calendar year).

The value of the housing contribution (HC) is the difference between the sum of the minimum housing expenses (MHE) and a product of the coefficient of charge on the income of jointly assessed persons by housing expenses (R) and the income of jointly assessed persons (Y), while the coefficient of charge on the income of jointly assessed persons by housing expenses equals 0.29.

$$HC = MHE - (R \times Y).$$

The amount of minimum housing expenses differentiates according to the number of persons having the right to stay in the flat in which they are registered for a permanent stay.

Minimum housing expenses (since 1 July 2001):

- SKK 1 680 monthly for one family member.
- SKK 2 090 monthly for two family members.
- SKK 2 490 monthly for three family members.
- SKK 2 900 monthly for four and more family members.

5.1 Conditions for receipt

- a) Applicant's permanent stay in the flat or family house he uses on the territory of Slovakia.
- b) A payment of the rent and payment for services related to using the flat, if the applicant is a flat tenant.
- c) Advance payments to the operational, maintenance and repair funds, payment for services provided to use the flat and a real estate tax paid off, if the applicant is the flat owner.
- d) A real estate tax paid off, if the applicant is the family house owner.
- e) Low income of persons jointly assessed.

Note: Since January 1, 2004 Housing Benefits have ceased to exist.

6. Family benefits

They consist of child allowances, parental allowances and further benefits of state social assistance.

6.1 *Conditions for entitlement to child allowances*

Since 1 January 2003 (Act No. 281/2002 Coll.)

- a) Care of the dependent child by qualifying person.
- b) income for the supplement to the child allowances not higher than amount determined by law;
- c) Permanent stay or the long term stay of the qualifying person and of dependent child in the territory of the Slovak Republic.

Conditions for entitlement to supplement to child allowances:

- a) Fulfilling the conditions for entitlement to child allowance
- b) Income not higher than amount determined by law.

Entitlement to child allowances and supplement to child allowance - could apply as qualifying person from 1 July 2002:

- a) Parent of dependent child.
- b) Person to which the dependent child was entrusted into substitute parental care under a valid ruling by a court.
- c) Adult dependent child, if there is no person under letter a) or if the child has regulated the alimentary obligation from parents.
- d) Adult dependent child who is married or whose marriage discharged.

Child allowances were provided to all dependent children regardless the child's age and the family income in the sum of SKK 270,- /month.

The supplement to the child allowances was provided on the basis of the income testing and its amount depended on the family income and child's age.

6.2 *Calculation of gross benefit*

In case where the income of the family doesn't exceed a factor of 1,37 times of sums for State Social Benefits according to § 5 of Act No. 125/1998 Coll. *, the supplement to the child allowance/month is as follows:

child of age up to 6 years	SKK 410,-
child of age 6 to 15 years	SKK 560,-
child of age over 15 years	SKK 620,-

In case where the income of the family is a factor of between 1,37 and 2,2 times of sums for State Social Benefits according to § 5 of Act No. 125/1998 Coll. *, the supplement to the child allowance /month is as follows:

child of age up to 6 years	SKK 210,-
child of age 6 to 15 years	SKK 320,-
child of age over 15 years	SKK 350,-

* Sums for definition of income for existence of condition for entitlement to child and to supplement to child allowances are as follows:

- a) SKK 3 000,- monthly in case of one adult person, which is
 - 1. a parent of a dependent child or,
 - 2. a dependent child of which the income is assessed separately,
- b) SKK 2 100,- monthly in case of
 - 1. another jointly assessed person, which is parent of a dependent child,
 - 2. another jointly assessed person, which is a spouse of parent of a dependent child,
- c) SKK 1 770,- monthly in case of a dependent child of age over 15 years,
- d) SKK 1 660,- monthly in case of a child of age from 6 to 15 years,
- e) SKK 1 350,- monthly in case of a child of age till 6 years.

6.3 *Income and earnings disregards*

See section 6.2.

6.4 *Tax treatment of benefit*

Child allowance and supplement to child allowance are not subject to personal income tax.

7. *Childcare benefits - parental allowance*

7.1 *Conditions for receipt*

Since 1 November 2002 (Act No. 280/2002 Coll.)

Entitlement to parental allowance is a parent (mother, father,...) providing personal and proper full day-care to at least one child up to the age of 3 years (in the case of a long-term or severely handicapped child up to the age of 6 years).

Condition for an entitlement to parental allowance is the permanent stay of a parent and a child, for foreigners a temporary stay is allowed also.

7.2 *Calculation of benefit amount*

7.2.1 *Calculation of gross benefit*

Since 1 November 2002

- SKK 3 790 monthly.

- SKK 1 200 monthly, if a parent (during a period he/she cares for a child) simultaneously is gainfully employed or receives sickness insurance benefit besides cash maternity assistance.

7.2.2 *Income and earnings disregard*

Since 1 November 2002

In addition to employment and self-employment income disregards there is entitlement to a parental allowance of SKK 1 200.

7.3 *Tax treatment of benefit*

Parental allowance is not subject to income tax.

8. **Employment-conditional benefits**

None.

9. **Lone-parent benefit**

None.

10. **Tax system**

10.1. *Income tax rate schedule*

10.1.1 *Tax allowances and credit*

Tax allowances		Amounts (in SKK per year)
Basic		38 760
Marital status		12 000 if married or living in a common household with a partner who earns not more than 38 760
Dependent child		16 800 per dependent child
Social security contributions		All

10.1.2 *The definition of taxable income*

It is the gross earnings minus the above tax allowances.

10.1.3 *The tax schedule*

Taxable income (SKK)	Tax at lower limit (SKK)	Tax rate on taxable income in excess of the lower limit (%)
0 – 90 000	0	10
90 000 – 180 000	9 000	20
180 000 – 396 000	27 000	28

396 000 – 564 000	87 480	35
564 000+	146 280	38

10.2 *Treatment of family income*

The tax unit is the individual.

10.3 *Social security contribution schedule*

Scheme	Rate (%)
Health insurance	4.0
Social Insurance	8.8
Sickness	1.4
Retirement	6.4
Unemployment	1.0
Total	12.8

There are maximum assessment bases MSSAB (maximum threshold for contributions to apply) that apply to social security contributions: CZK 384 000 and CZK 288 000 (for unemployment).

11. **Part-time work**

11.1 *Special benefit rules for part-time work*

None.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. **Policy developments**

In April 2003 the Government of the Slovak Republic approved the Supportive Strategy of the Employment Grow through the social system and labour market changes. The main task of the Strategy is to reduce poverty through employment growth, support to economic and social activity of individuals, their employability and limitation of the abusing the social system and at the same time to preserve the constitutional guarantee of providing basic living conditions for each citizen.

The Ministry of Labour, Social Affairs and Family of the Slovak Republic elaborated drafts of Acts on material need and amendments of state social support. The approved drafts of acts have been in force since January 1, 2004. Also we have newly specified state administration.

As regards the employment service the Act on Employment Service has entered into force since February 1, 2004. The task of this act is to provide comprehensive employment services to all job applicants when they look for a job, change a job, or have interest in a vacancy.